

currencies. However, it should be noted with currencies that the governance of the issuing nation can meddle with the exchange rate, and therefore basis of value, of the currency. Value assets like fine art are the hardest and most subjective to value, as often beauty is in the eye of the beholder.

Cryptoassets have two drivers of their basis of value: utility and speculative.

Digital units of bitcoin don't exist beyond unspent transaction outputs—or credits—in bitcoin's blockchain. Therefore, a significant portion of the basis of value is what the underlying blockchain enables the users of the assets to do; in other words, bitcoin's utility value.

Utility value refers to what the underlying blockchain is used for, and therefore what the demand is for its asset. For example, Bitcoin's blockchain is used to transact bitcoin and therefore much of the value is driven by demand to use bitcoin as a means of exchange. Similarly, bitcoin can be used as a store of value, so a percentage of the bitcoin outstanding is demanded for that use case. All these use cases temporarily bind bitcoin, drawing it out of the supply of bitcoin outstanding. The more that people want to use bitcoin, the more they'll have to pay to get access to it.

On top of utility value, there's a speculative value to a cryptoasset. Since cryptoassets are all under a decade old, much is still left to be seen regarding how each will develop, which is where speculative value comes into play.

Speculative value is driven by people trying to predict how widely used a particular cryptoasset will be in the future. It's